FINANCIAL ACCOUNTING

ELEVENTH EDITION

Chapter 6

Accounting for retailing

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Inventory

- Inventory means goods or property purchased and held for sale.
- Also means other assets held for future sale but not normally sold as part of regular business activities.
- **Stock** and **stock in trade** are commonly used terms for inventory.

Inventory

- **Retail business operations:**
  - Determination of profit is a major objective of accounting for inventory.
  - Cost of sales for a given period is often the business's largest expense.
  - Inventory is one of the most active assets in a retail business.
  - The control and safeguarding of inventory is essential for efficient and profitable operations.

Condensed statement of financial performance for a retailer

- Sales (a revenue) is of primary importance.
- Cost of sales represents inventory sold during the period.
- The cost of sales is subtracted from net sales revenue to arrive at an intermediate amount called gross profit (or gross margin) on sales.
- Expenses are grouped by function:
  - Selling and distribution expenses.
  - Administrative expenses.
  - Finance expenses.

Condensed statement of financial performance for a retailer

- **Simplified statement of financial performance for a retail business:**

THE FASHION SHOP LTD **Statement of financial performance** for the year ended 31 December 2022		
INCOME		
Revenue:		
Net sales revenue		$692 890
Less: Cost of sales		470 490
Gross profit		222 400
Other income		5 260
		227 660
EXPENSES		
Selling and distribution	$100 270	
Administrative	78 850	
Finance and other	4 260	183 380
Profit (before income tax)		**$ 44 280**

Accounting for sales transactions, including GST

- **Freight outwards:**
  - There are a variety of costs incurred in moving goods from seller to buyer.
  - Obligations of the seller and/or buyer in relation to these costs are stated on the invoice issued by the seller.
  - Standardised trade terms used:
    - EXW: ex works.
    - DDP: delivered duty paid.

Accounting for purchases and cost of sales

- **Accounting for inventory involves:**
  - Recording cost of purchased inventories.
  - To determine which part of the inventory can be allocated to:
    - cost of sales
    - ending inventory.

Accounting for purchases and cost of sales

- **Accounting for inventory involves:**
  - There are two distinctly different inventory systems:
    - perpetual inventory system
    - periodic inventory system.

Accounting for purchases and cost of sales

- **Perpetual inventory system:**
  - Involves keeping current and continuous records of all inventory transactions.
  - Separate computer record or inventory card for each type of inventory item held:
    - Quantity, unit cost and total cost for each purchase and each sale.
    - Running inventory balance.

Accounting for purchases and cost of sales

- **Perpetual inventory system:**
  - Inventory record:

FRIDGE TOWN

Item Refrigerator
Code C350

Location
1 unit showroom
Remainder — Warehouse

Minimum Stock 4
Maximum Stock 17

Date	Explanation	Purchases			Sales			Balance		
		Units	Unit cost	Total cost	Units	Unit cost	Total cost	Units	Unit cost	Total cost
1/1	Beginning balance							4	650	2600
15/1	Purchases	10	650	6500				14	650	9100
21/1	Sales				3	650	1950	11	650	7150
23/1	Purchases returns	(1)	650	(650)				10	650	6500
24/1	Sales returns				(1)	650	(650)	11	650	7150

Accounting for purchases and cost of sales

- **Periodic inventory system:**
  - A store operating with high volume may conveniently record the amount of each sale.
  - Entities that do not use a perpetual inventory system use a periodic inventory system.

Accounting for purchases and cost of sales

- **Perpetual and periodic inventory systems contrasted:**
  - The perpetual inventory system and the balance in the Inventory account provides a continuous and current record of inventory on hand.
  - A physical inventory count is taken under the perpetual system only to verify the accuracy of the recorded ending inventory.

End of period processes

- **Illustration of worksheets in retail businesses:**
  - A worksheet can be used to organise the information needed to prepare financial statements and closing entries.
  - In the trial balance columns there are new equity accounts — Share Capital and Retained Earnings.

End of period processes

- **Perpetual inventory system:**
  - It is used to account for the flow of goods.
  - The balance in the Inventory account is the ending inventory amount.
  - The cost of sales, freight inwards and discounts received are extended along with the other temporary accounts to the proper statement of financial performance columns.

End of period processes

- **Periodic inventory system:**
  - The unadjusted trial balance debit column is the beginning inventory amount.
  - The accounts that affect the cost of net purchases — Purchases, Purchases Returns and Allowances, Discount Received, and Freight Inwards.
  - It is necessary to remove the beginning inventory balance and record the ending inventory in the Inventory account.

Detailed statement of financial performance for a retailer

- **Expenses classified as:**
  - Selling and distribution expenses.
  - Administrative expenses.
  - Financial and other expenses.
- A detailed listing of individual expenses was not included in the worksheet.

Net price method and settlement discounts

- **Under the gross price method:**
  - Inventory purchases are recorded at the gross, or full, invoice price, and any discount received is not recorded unless payment is made within the discount period.
  - This assumes initially that discounts will not be taken.
  - They are recorded later in the accounts only when the discounts are taken by the seller or buyer.

Net price method and settlement discounts

- **Under the gross price method:**
  - The discount amounts involved are often immaterial.

Profitability analysis for decision making

- The statement of financial performance is structured to present a picture of the main items of income and expense.
- This structure enables management to assess the:
  - profitability of operations
  - by monitoring over time the relationships that exist among sales
  - cost of sales
  - gross profit
  - expenses and profit.

Profitability analysis for decision making

- **Gross profit ratio:**
  - The gross profit ratio expresses gross profit as a percentage of net sales.
  - It represents the portion of the sales dollar that is reflected in gross profit.
  - This ratio also indirectly reflects the relationship of cost of sales to sales.

$$\frac{\text{Gross profit}}{\text{Net sales}} \times 100\%$$

Profitability analysis for decision making

- **Profit margin:**
  - Reflects the portion of each sales dollar that ends up as final profit.
  - Ratio is considered more informative than simply stating profit in absolute terms.

$$\frac{\text{Profit (after tax)}}{\text{Net sales}} \times 100\%$$

Profitability analysis for decision making

- **Expenses to sales ratio:**
  - Expenses to sales ratio reflects the portion of each sales dollar that is needed to meet the entity's expenses other than cost of sales.

$$\frac{\text{Expenses}}{\text{Net sales}} \times 100\%$$

Profitability analysis for decision making

- **Inventory turnover:**
  - Ratio used to assess performance in a retail business is the inventory turnover.
  - Indicates the number of times average inventory has been sold during a period.

$$\frac{\text{Cost of sales}}{\text{Average inventory}}$$

Summary

- The nature of inventory and retailing operations.
- The basic format of an statement of financial performance for retail businesses.
- Accounting for sales transactions of retail businesses, including goods and services tax, the treatment of sales returns, cash discounts, trade discounts and freight costs.
- Accounting for purchases of inventory and cost of sales under both the perpetual and periodic inventory systems by retail businesses.

Summary

- Preparing worksheets and close the accounts for retail businesses for both the perpetual and periodic inventory systems.
- Preparing a detailed statement of financial performance for a retail business.
- The net method of recording purchases and sales whenever there are settlement discounts.
- Performing a brief analysis of profitability in a retail business for decision-making purposes.

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